

Let us assume that COVID 19, demonetization, or GST announcements are hiccups due to which the KPIs stagnate for a while, then we might not do anything. However, if KPIs deteriorates due to fundamental shift, then we can consider selling the stock irrespective of profit or loss.

Effects of COVID-19 on the travel industry:

Experienced a massive lockdown due to COVID 19



The debt in their books are very high.



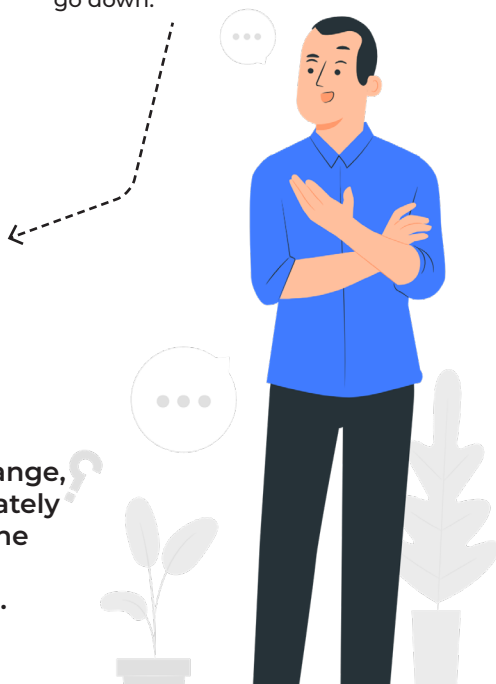
Interest coverage ratio went down.

As a result, the business has suffered and the real value goes down too.

In this case, our initial investing theory of the travel industry goes wrong.

We may decide to sell our stocks due to fundamental shifts, a decline in KPIs, and deteriorating business conditions. The companies will take a lot of time to recover from debt.

These are significant changes due to which the real value of the company will go down.



We must analyze if it is a fundamental change or a small hiccup. If it is a fundamental change, we must sell the stocks immediately as our investment thesis has gone wrong. It is very common for investment there is to go wrong.